

Product Improvements Proposal: Closing the Onboarding & KYC Gap

To: Head of Product, Engineering Lead

Re: Prioritized initiatives to lift Install → Funded conversion, following the KYC Policy Memo

1. Context (recap)

Current funnel conversion is **13.0%** (Install → Funded), with **Aadhaar Document Upload as the single worst leak (38.5% drop-off)**, compounded by two distinct root causes: a **trust barrier** (concentrated among prior-complaint/low-satisfaction users) and a **technical barrier** (concentrated among users aged 56+). The KYC Policy Memo proposed a risk-based, three-track approach to *govern* this. This doc proposes the specific initiatives to *build*.

Assumption for sizing below: ~50,000 app installs/quarter (stated explicitly since it drives the Reach numbers — adjust if your actual/target volume differs).

2. The Four Initiatives

#	Initiative	Barrier Addressed	What It Is
1	Contextual Trust Messaging	Trust	Plain-language "why we need this / how it's secured" messaging shown directly before PAN and Aadhaar entry screens
4	DigiLocker Auto-Fetch	Technical (+ Trust)	Pull PAN/Aadhaar directly from DigiLocker instead of manual photo upload — removes the camera/file-quality failure mode entirely for users who opt in
5	OTP Fallback Channel	Technical	After 2 failed SMS OTP attempts, automatically offer voice-call or WhatsApp OTP
8	Save & Resume Onboarding	Both (safety net)	Let users pause mid-KYC and resume later without losing progress, instead of forcing a full restart

3. RICE Prioritization

RICE = (Reach × Impact × Confidence) ÷ Effort. Reach = users affected per quarter. Impact = 3 (massive) / 2 (high) / 1 (medium) / 0.5 (low). Confidence = % certainty in the estimate. Effort = person-months.

Initiative	Reach/qtr	Impact	Confidence	Effort (person-months)	RICE Score
Contextual Trust Messaging	10,000 (prior-complaint/low-satisfaction segment, ~20% of installs)	2	80%	0.5	32,000
DigiLocker Auto-Fetch	30,000 (users reaching PAN stage)	3	70%	3.0	21,000
Save & Resume Onboarding	43,500 (all users currently abandoning pre-funding)	1	70%	2.0	15,225
OTP Fallback Channel	6,600 (users failing SMS OTP, weighted toward 56+ segment)	2	90%	1.0	11,880

How to read this table: Trust Messaging tops the list not because it's the biggest fix, but because it's nearly free to build — that's RICE doing its job, surfacing quick wins.

DigiLocker scores lower on RICE despite being the single highest-impact fix, because it costs 6x the engineering effort of Trust Messaging. Both are worth building — RICE tells you the *order*, not which ones to skip.

4. Phased Roadmap

● Now (Quarter 1) — Fast, cheap, ship immediately

- **Contextual Trust Messaging** — content + minor UI change, no backend dependency. Lowest-risk, highest-RICE item; ships first almost by default.
- **OTP Fallback Channel** — standard telephony/voice-OTP integration (widely available via existing SMS/OTP vendors). Small, self-contained engineering lift; directly targets the 56+ technical-barrier stat.

Why these two together: both are low-effort, don't depend on external partners, and can be A/B tested within the same quarter to validate the RICE assumptions before committing engineering time to the bigger bet below.

● Next (Quarter 2) — The flagship fix

- **DigiLocker Auto-Fetch** — highest overall impact (directly attacks the 38.5% Aadhaar leak) but requires real engineering investment: API integration, compliance sign-off on DigiLocker as a verification source, and fallback handling for users without a DigiLocker account. Sequenced second deliberately — it deserves a full quarter of focused build time rather than being squeezed in alongside quick wins.

● Later (Quarter 3+) — Safety net, once the core flow is stable

- **Save & Resume Onboarding** — broad reach but medium impact; most valuable *after* Trust Messaging and DigiLocker have already reduced the number of users hitting hard failures, so "resume" is catching genuine life-interruptions rather than papering over a broken flow. Building it too early risks masking problems Trust Messaging/DigiLocker should be fixing outright.
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5. What Success Looks Like

Track these metrics per initiative, not just overall funnel conversion — this is what lets you attribute impact to a specific change rather than guessing:

- **Trust Messaging:** Aadhaar Upload drop-off rate for the prior-complaint segment specifically (currently 54.6%) — target: close at least half the gap to baseline (36.1%).
 - **OTP Fallback:** OTP-stage drop-off for the 56+ segment specifically (currently 19.1%) — target: bring within 5 points of the 18-25 baseline (9.6%).
 - **DigiLocker:** Aadhaar Upload stage drop-off overall (currently 38.5%) — target: cut by a third among users who opt into DigiLocker.
 - **Save & Resume:** % of paused sessions that convert within 7 days (new metric, no current baseline — this initiative *creates* the ability to measure it).
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6. Open Risks

- DigiLocker adoption isn't universal — this initiative needs a manual-upload fallback for users without an account, or it just shifts the technical barrier rather than removing it.
- Trust Messaging's impact is the hardest of the four to isolate cleanly in an A/B test if shipped in the same quarter as other onboarding changes — recommend it ships and is measured for 2-3 weeks *before* OTP Fallback goes live, even though both are "Now."